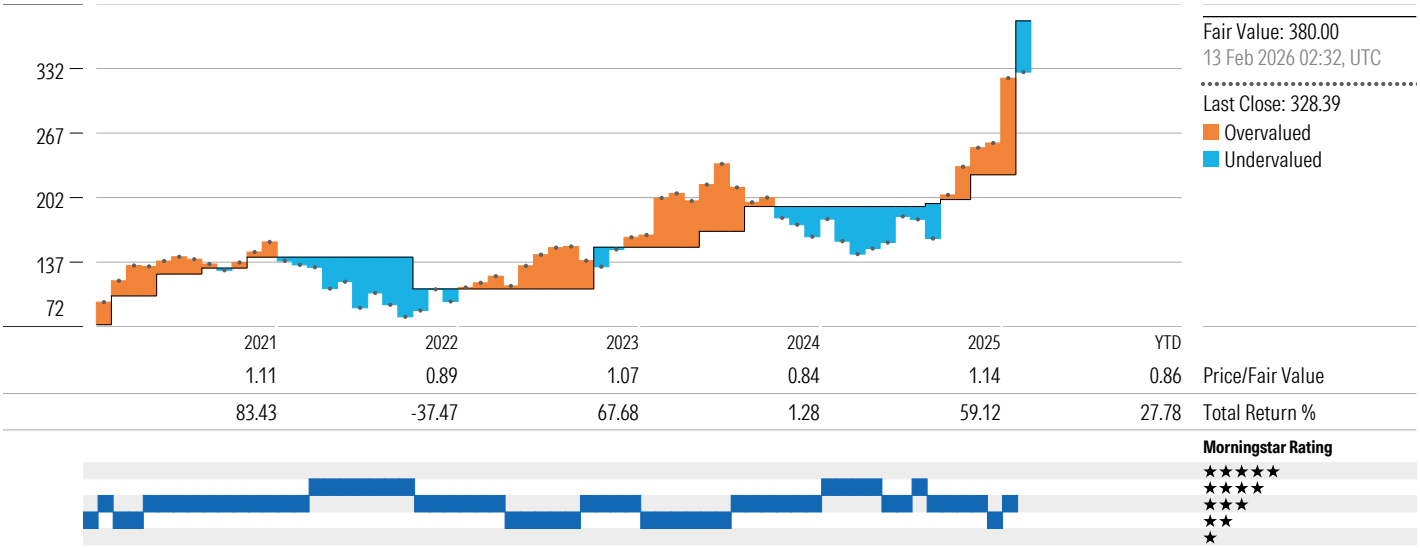
Applied Materials Inc AMAT ★★★ 13 Feb 2026 02:36, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
328.39 USD 12 Feb 2026	380.00 USD 13 Feb 2026 02:32, UTC	0.86	281.70 USD Bil 13 Feb 2026	Wide	Large Blend	High	Exemplary	7 Jan 2026 06:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.11	0.89	1.07	0.84	1.14	0.86
Total Return %	83.43	-37.47	67.68	1.28	59.12	27.78

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 12 Feb 2026. Last Close as of 12 Feb 2026. Fair Value as of 13 Feb 2026 02:32, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Applied Materials Earnings: Hop Aboard the AI Spending Rocket Ship

Analyst Note William Kerwin, CFA, Senior Equity Analyst, 13 Feb 2026

Applied Materials reported strong January-quarter results and provided an impressive outlook for calendar 2026. Management expects more than 20% growth in equipment sales in 2026, aligning with peer Lam Research's market commentary provided in late January.

Why it matters: We expect a massive wafer fabrication equipment, or WFE, growth cycle over the next three years. Artificial intelligence infrastructure demand is immense, and supply is scarce. We expect a rapid pace of chip capacity buildouts over the coming years to fuel great demand for Applied.

- In 2025, we predicted an AI-driven growth cycle for WFE. Our expectations for the magnitude of growth have risen significantly since then. We now expect close to 20% growth across 2026 and 2027, up from our prior expectations for high-single digit growth.
- We believe medium-term growth will be led by investments in cutting-edge logic and DRAM chip capacity. We see huge spending plans by TSMC (logic), SK Hynix (DRAM), and Micron (DRAM) as constructive for strong future orders for Applied.

The bottom line: We raise our fair value estimate for wide-moat Applied Materials to $380 per share, from $225, to account for our higher AI growth cycle forecast. Shares rose 13% after hours on the 2026 outlook, and look fairly valued at our new valuation.

- Applied shares are up 50% in the last three months (even before the earnings reaction). We now

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Sector
Technology

Industry
Semiconductor Equipment & Materials

Business Description

Applied Materials is the largest semiconductor wafer fabrication equipment manufacturer in the world. It has a broad portfolio spanning nearly every corner of the WFE ecosystem. Applied Materials holds leading market share in deposition, which entails the layering of new materials on semiconductor wafers. It is more exposed to general-purpose logic chips made at integrated device manufacturers and foundries. It counts the largest chipmakers in the world as customers, including TSMC, Intel, and Samsung.

agree with this appreciation, which has to be supported by immense double-digit growth in the years to come.

- Investors likely have concerns over the durability of AI spending. To us, the severe AI chip supply constraints today give us confidence for at least the next two years. We do not see demand limiting growth over this period; supply is the primary constraint on investment.

Business Strategy & Outlook William Kerwin, CFA, Senior Equity Analyst, 14 Nov 2025

Applied Materials is the largest supplier in the world of wafer fabrication equipment for semiconductors. It holds the broadest portfolio, in our view, which we think should enable it to maintain its leading market share. In our view, Applied Materials' breadth in chip manufacturing gives it stickier inroads into customers by selling integrated solutions across technologies. We expect Applied Materials to grow at a mid- to high-single-digit pace over the course of market cycles as it benefits from trends toward more complex chips in the long term, including gate-all-around transistors, advanced packaging, and artificial intelligence.

We assign a wide economic moat rating to Applied Materials, stemming from immense capabilities in cutting-edge chip manufacturing and steep switching costs for customers. Applied Materials is the only WFE provider to compete meaningfully in all three market segments of etch, deposition, and process control, going toe-to-toe with more-specialized competitors like Lam Research and KLA. We believe Applied Materials' market-leading research and development budget—more than $3 billion annually—generates substantial intangible assets and fuels the company's ability to win and maintain customers across these three distinct segments, in part with its integrated solutions. We also see the complexity of Applied Materials' equipment and its embedded services business as sticky. In our view, its competitive advantage enables the company to earn strong profit margins and robust cash flow.

We expect results to be prone to semiconductor market cyclicality, but we believe Applied Materials will achieve growth over the long term. Its sales are a function of global chip volume and overall chip complexity, and while we see cyclicality in the former, we see durable growth for the latter. We are monitoring geopolitical risk affecting Applied Materials via export restrictions between the US and China, but we see most of these restrictions as baked in, and see low risk for restrictions on non-cutting-edge chip equipment. We like Applied Materials' significant shareholder returns funded with its heady cash flow.

Bulls Say William Kerwin, CFA, Senior Equity Analyst, 13 Feb 2026

- Applied Materials is the largest WFE provider in the world, with the broadest portfolio and the largest R&D budget of its peers.
- We expect Applied Materials to benefit from drivers of chip complexity like gate-all-around transistors and advanced packaging.

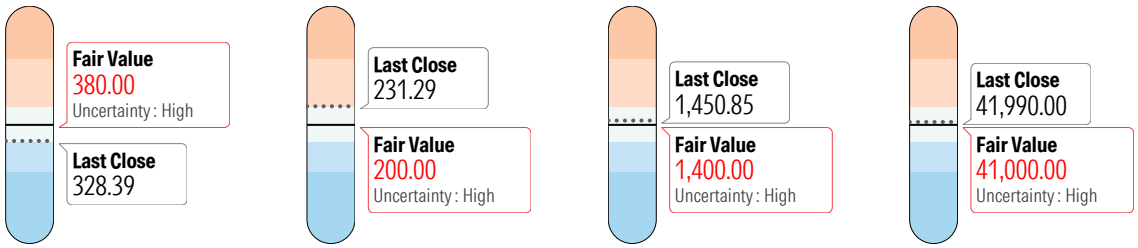
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Competitors



	Applied Materials Inc AMAT	Lam Research Corp LRCX	KLA Corp KLAC	Tokyo Electron Ltd 8035
Economic Moat	Wide	Wide	Wide	Wide
Currency	USD	USD	USD	JPY
Fair Value	380.00 13 Feb 2026 02:32, UTC	200.00 29 Jan 2026 03:37, UTC	1,400.00 30 Jan 2026 04:38, UTC	41,000.00 9 Feb 2026 02:02, UTC
1-Star Price	589.00	310.00	2,170.00	63,550.00
5-Star Price	228.00	120.00	840.00	24,600.00
Assessment	Fairly Valued 13 Feb 2026	Fairly Valued 13 Feb 2026	Fairly Valued 13 Feb 2026	Fairly Valued 13 Feb 2026
Morningstar Rating	★★★13 Feb 2026 02:36, UTC	★★★12 Feb 2026 22:37, UTC	★★★12 Feb 2026 22:37, UTC	★★★13 Feb 2026 19:33, UTC
Analyst	William Kerwin, Senior Equity Analyst	William Kerwin, Senior Equity Analyst	William Kerwin, Senior Equity Analyst	Kazunori Ito, Director
Capital Allocation	Exemplary	Exemplary	Exemplary	Standard
Price/Fair Value	0.86	1.16	1.04	1.02
Price/Sales	9.35	14.33	15.10	7.63
Price/Book	12.76	28.52	34.81	9.44
Price/Earning	32.17	47.32	42.21	27.40
Dividend Yield	0.54%	0.42%	0.51%	1.43%
Market Cap	281.61 Bil	294.12 Bil	191.91 Bil	19,248.33 Bil
52-Week Range	123.74—376.31	56.32—251.87	551.33—1,693.35	16,560.00—43,010.00
Investment Style	Large Blend	Large Growth	Large Growth	Large Growth

- Applied Materials has strong profit margins and cash flow and sends most of its cash flow back to shareholders.

Bears Say William Kerwin, CFA, Senior Equity Analyst, 13 Feb 2026

- We consider Applied Materials to be a generalist in WFE. More-specialized firms like Lam Research and KLA could outcompete it in their respective markets.
- Applied Materials faces cyclicality in the semiconductor market that can lead to years with lower sales and margin compression.
- Applied Materials faces risk from geopolitical tensions between the US and China that may further inhibit its ability to ship to Chinese chipmakers.

Economic Moat William Kerwin, CFA, Senior Equity Analyst, 22 Sep 2025

We assign Applied Materials a wide economic moat rating on the basis of intangible assets and

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switching costs. Applied Materials' proficiency in wafer fabrication equipment is the result of topnotch design expertise, in our view, and we think its embedded services business and long-term customer roadmaps are sticky. We also believe the amount of investment required to remain at the forefront of leading chip development, particularly across so many subsections of the market, creates an immense barrier to entry to all but the largest and best-capitalized chip equipment manufacturers. We expect Applied Materials to earn returns on invested capital well above its cost of capital, more likely than not, for the next 20 years.

We see Applied Materials holding the most comprehensive portfolio of equipment for semiconductor manufacturing. Its product lines run the gamut of chip manufacturing, able to serve logic and memory chipmakers alike with cutting-edge equipment, and offerings in nearly every category that span the cost and capability spectrum. While many other WFE peers occupy one or two corners of the market (like Lam with etch and deposition and KLA with process control), Applied Materials plays in them all in a meaningful way. The only exception is lithography, where ASML has a vise grip.

Deposition makes up roughly one fourth of the total WFE market, and Applied Materials' 40%-plus share more than doubles that of its nearest competitor. In etch and process control, Applied Materials holds third- and second-place share, respectively, and is the only player above 10% share in all three of these markets. Applied Materials also dominates smaller subsections of WFE, such as thermal processing and doping (the intentional introduction of impurities into an intrinsic semiconductor for the purpose of modulating its electrical, optical, and structural properties). To us, these strong share positions are the result of unmatched portfolio breadth and depth, fed by a market-leading $3 billion annual R&D budget. This budget dwarfs all but the largest of WFE competitors and enables Applied Materials to continue building its immense base of intangible assets. The strength of its offerings helps the company generate healthy non-GAAP gross margins in the mid- to high 40s.

Applied Materials' broad and deep portfolio helps it win customers, and we see it embedding customers once installed. Chipmaking is extremely complicated and precise. Applied Materials' equipment is responsible for creating transistors more than a thousand times smaller than a human hair and packing trillions of them into a 12-inch diameter wafer, with minimal defects. Customers demand the ability to produce millions of these wafers a month. Development and manufacturing to this level of precision is calibrated to specific customer product lines, and chipmakers build workflows around their equipment with the singular goal of efficient production. Applied Materials sends on-site service engineers to customer fabs to operate as an extension of the chipmaker's engineering team. These service engineers help to calibrate equipment during R&D, tweak and fix bugs during production, and work with chipmakers on meeting manufacturing requirements. They also work on equipment upgrades or recalibration to repurpose equipment. The high complexity of WFE machines and the integration of Applied Materials' service engineers make the company hard to replace, in our view.

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Beyond the cost of purchasing new equipment ($1 million or more per machine), chipmakers would need to redesign manufacturing workflows and learn wholesale new hardware and software interfaces, as well as restart knowledge sharing with new services engineers. Applied Materials' equipment can last in the field for multiple decades, which generates deep connections with customer engineering teams and augments this stickiness. Applied Materials' deep customer relationships also entail forward-looking project roadmaps up to 10 years out, giving the firm a leg up in winning new placements as it can target new machines to exact customer requirements. Finally, with its broadest-in-class portfolio, Applied Materials increasingly sells integrated solutions to customers, sometimes combining seven different process steps and chambers in one unified piece of equipment. This can offer better performance, cost, and development time to chipmakers and also makes Applied Materials' equipment even stickier, in our view.

The combination of Applied Materials' large portfolio, sticky customer relationships, and immense ongoing investment gives us confidence in the durability of its competitive position and healthy profitability. We believe this will allow the company to continue earning strong economic profits, more likely than not, for the next 20 years and results in a wide economic moat.

Fair Value and Profit Drivers William Kerwin, CFA, Senior Equity Analyst, 13 Feb 2026

Our fair value estimate is $380 per share. Our valuation implies a fiscal 2026 adjusted price/earnings multiple of 34 times and a fiscal 2026 enterprise value/sales multiple of 9 times. Against fiscal 2027 and 2028 non-GAAP earnings, our valuation implies multiples of 25 times and 23 times, respectively. The biggest drivers to our valuation are the growth of wafer fab equipment spending and Applied Materials' ability to increase market share.

We forecast 13% compound annual sales growth for Applied Materials through fiscal 2030. We project superb growth through 2027, driven by robust capacity expansions at both logic and memory chipmakers to supply AI demand. Thereafter, we project midcycle growth in the mid to high single digits, in line with the historical trend of the WFE market. We expect midcycle growth to be driven by more advanced chip designs at chipmakers that rely on Applied Materials' equipment to manufacture gate all-around transistors, chiplet designs, and high-bandwidth memory, among other technologies. Applied Materials' system sales are the most cyclical, and its services business is quite stable, which helps offset some cyclicality on the top line. We expect this services revenue stream to rise in the double digits annually over our forecast.

We project Applied Materials to maintain its non-GAAP gross margin around the 49% range over time, with modest shorter-term fluctuations due to product mix and volumes. We project operating margin to rise with leverage over administrative expenses. We expect strong growth in research and development to maintain the firm's moat. We estimate 34% non-GAAP operating margin in fiscal 2030, up from 30%

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in fiscal 2025.

Risk and Uncertainty William Kerwin, CFA, Senior Equity Analyst, 22 Sep 2025

We assign a High Morningstar Uncertainty Rating to Applied Materials. Applied Materials is prone to cyclicality in the semiconductor industry, with times of oversupply and lower capital expenditures followed by times of strong demand and more manufacturing buildouts. Results can fluctuate with semiconductor end demand, but we retain our belief that Applied Materials can grow over the course of cycles into the long term.

Applied Materials also faces risk from geopolitical uncertainty, primarily between the US and China. The US government has levied export restrictions on advanced semiconductor manufacturing equipment, which limits Applied Materials' ability to ship to Chinese chipmakers. This impact is already digested, and Applied Materials is largely able to compensate with demand elsewhere in the world, in our view. Still, there is risk that restrictions ramp up further and could be a sales headwind for the firm.

Competitors are often more specialized than Applied. Lam Research is focused on etch and deposition, while KLA specializes in process control. Applied Materials faces risk from battling on two fronts here, and if it is not able to adequately invest, it could find itself losing out to these strong competitors. Applied Materials also bears risk from a concentrated customer base. If a relationship with a large manufacturer like TSMC, Samsung, or Intel were to sour, its competitive position could worsen.

We foresee little environmental, social, and governance risk for Applied Materials. Its primary risk in this domain would be losing human capital to other WFE firms. If Applied Materials isn't able to maintain its critical engineers, it could start to see its intangible assets erode.

Capital Allocation William Kerwin, CFA, Senior Equity Analyst, 14 Nov 2025

We assign Applied Materials an Exemplary Capital Allocation Rating, driven by a sound balance sheet, exceptional investments, and good shareholder returns.

Applied Materials' balance sheet is strong, with a net cash position and long-dated debt maturities. It also generates good free cash flow, most of which it sends back to shareholders. Applied Materials has increased its dividend every year since 2018 and targets sending more than 80% of free cash flow back to shareholders, including buybacks, which it has achieved historically.

We think Applied Materials' investments in the business have been exceptional. In our view, the firm rightly prioritizes R&D investments for organic growth in a consolidated industry. It outspends every competitor on R&D, and we credit its strong organic investment for share gains in the WFE market over the past five years. We see this investment creating its wide economic moat. The WFE market is quite consolidated, with the top five suppliers (including Applied Materials) making up over 70% of total revenue. We don't foresee sizable deals between these large players, given concerns of anticompetition.

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A good example is the failed Applied Materials-Tokyo Electron merger of 2015. Still, Applied Materials makes occasional small bolt-on deals to reinforce its software capabilities or add depth in a particular chemical process.

Analyst Notes Archive

Applied Materials Earnings: Long-Term AI Growth Story Intact Despite Short-Term Softness William Kerwin, CFA,Senior Equity Analyst,14 Nov 2025

Applied Materials' October-quarter results came in above the midpoints of guidance, with sales of $6.8 billion shrinking 3% year over year. Guidance implies continuing softness over the next couple of quarters, but management is bullish about a demand inflection in the second half of 2026.Why it matters: We're focused on the long-term positive growth story for Applied, and we like its bullishness in the back half of 2026 and into 2027. We see Applied as an artificial intelligence winner in chip equipment, with technology leadership across a wide array of end markets and processes. The short-term demand environment has been choppy. A mix of oscillating China shipment restrictions, softer lagging-edge demand, and lumpy order patterns from leading-edge customers like TSMC weigh on growth right now, but we expect these dynamics to be resolved. Applied has suffered from a narrative that it is a generalist and faces a weaker opportunity in the AI era than its peers. We disagree. We like the firm's position in advanced deposition, etch, and advanced packaging. We expect it to maintain its leadership in the long term. The bottom line: We raise our fair value estimate for wide-moat Applied to $225 per share, from $200, behind higher medium-term expectations for the firm's leading-edge equipment sales. A short-term market focus has shares down 4% after hours. Applied now looks modestly undervalued. Shares are up about 20% year to date, well behind peers like Lam Research (112%) and KLA (84%). We believe this is an actionable disconnect. Applied should share an attractive growth opportunity with these two, in our view, and offers investors a much better entry point for growth to come. We expect Applied's strongest growth over the next five years to come via leading-edge logic, DRAM, and advanced packaging equipment to support AI infrastructure. We expect these to drive the majority of market growth and Applied's growth, with other segments growing more slowly.

Applied Materials: Incremental China Export Restrictions Are a Negligible Impact William Kerwin, CFA,Senior Equity Analyst,3 Oct 2025

Applied Materials guided to $110 million lower revenue in its October quarter as a result of updated export restrictions between the US and China imposed on Sept. 29. It also expects a $600 million headwind in fiscal 2026. Why it matters: This is incremental to existing US government restrictions, which now include related parties in export restrictions, primarily focusing on Chinese firms that are majority owned by already-restricted companies. With $30 billion in annual revenue, this has a low impact on Applied. We still see China as mostly derisked for Applied and other WFE vendors, who

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already can't ship any advanced logic equipment to China. The remaining China revenue (approximately 25% of sales) primarily serves lagging-edge logic equipment, which we view as a low risk of restriction. Peers Lam and KLA didn't issue revenue warnings, which we attribute to quarters ended Sept. 30. We expect updated guidance to include this incremental impact when these firms report September-quarter earnings at the end of October. The bottom line: We maintain our $200 fair value estimate for wide-moat Applied. We trimmed our short-term estimates to account for the headwind, but expect these shipments to be made up in the longer term to other customers. Shares dipped 3% intraday, and look fairly valued to us. We expect Applied's China revenue to decrease in 2025 and 2026, resulting from trade restrictions and a correction from excess Chinese orders in 2023 and 2024. After 2026, we anticipate mid-single-digit growth as China continues to invest in lagging-edge chip capacity. We remain optimistic on Applied's total revenue growth in the medium term, with artificial intelligence infrastructure investments as a primary driver. AI investments are driving an increase in the supply and complexity of leading-edge chips, which increases Applied's opportunity.

Raising Valuations for Applied Materials, KLA, and Lam Research With Higher AI Expectations for WFE William Kerwin, CFA,Senior Equity Analyst,22 Sep 2025

We have updated our medium-term growth assumptions for the wafer fabrication equipment market and for Applied Materials, KLA, and Lam Research specifically. Our growth forecasts for these companies also include advanced packaging investments for semiconductors.Why it matters: We see investments in artificial intelligence infrastructure, particularly AI accelerator chips, driving strong medium-term growth for WFE and advanced packaging. We believe AI demand is driving an increase in the supply of advanced logic and DRAM chips, as well as gains in chip complexity. Advanced packaging typically doesn't count as part of WFE but is an increasingly important opportunity for well-positioned WFE vendors that can do both. We expect this to add to overall growth over the next five years for Applied, KLA, and Lam. We see this group as technology leaders in WFE and advanced packaging that stand to benefit disproportionately from AI chip investments by offering best-of-breed equipment. We expect these companies to outperform smaller peers as they aggregate market share.The bottom line: We have raised our fair value estimates for these three wide-moat WFE vendors: to $200 per share from $196 for Applied Materials, to $800 from $750 for KLA, and to $100 from $96 for Lam. After recent appreciation, we view Applied as fairly valued, while KLA and Lam look overvalued. We've seen strong appreciation for the group with improved sentiment for Intel after investments by the US government and Nvidia. We think this is neutral for WFE companies, with our long-term WFE forecast more tied to global chip demand than short-term share shifts among TSMC, Intel, and Samsung. We believe the three companies share an attractive AI growth opportunity in the next five years, but we like Applied the best of this group. Applied's shares have underperformed those of KLA and Lam, which we see as an actionable disconnect for long-term investors.

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Applied Materials Inc AMAT ★★★ 13 Feb 2026 02:36, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
328.39 USD 12 Feb 2026	380.00 USD 13 Feb 2026 02:32, UTC	0.86	281.70 USD Bil 13 Feb 2026	Wide	Large Blend	High	Exemplary	7 Jan 2026 06:00, UTC

Applied Materials Earnings: Disappointing Guidance Doesn't Dent Our Long-Term Conviction William Kerwin, CFA,Senior Equity Analyst,15 Aug 2025

Applied Materials' fiscal third-quarter results met management guidance, but management expects a decline in the fiscal fourth quarter. Revenue of $7.3 billion rose 8% year over year and 3% sequentially. Guidance calls for revenue of $6.7 billion at the midpoint, implying an 8% sequential decline.Why it matters: Guidance was disappointing and missed our model. It was also significantly weaker than commentary from peers like KLA and Lam Research. To us, this reflects lumpy order patterns, and we expect artificial intelligence investment to continue driving good chip equipment growth over the medium term. Management attributes most of the sequential decline next quarter to normalizing China orders after a strong period of overordering across 2023 and 2024. We've expected this, but it appears sharper for the next quarter than we expected, and not fully offset by strong logic demand. We're optimistic about AI investment driving good chip equipment orders for leading-edge logic and DRAM equipment from Applied over the medium term. Weaker short-term guidance doesn't change our view of Applied's position to capitalize on this investment longer-term. The bottom line: We raise our fair value estimate for wide-moat Applied to $196, from $193, with a higher medium-term leading-edge logic forecast, in line with peers. We see the fourth quarter as a speed bump in a positive longer-term story. Shares look attractive after selling off after hours. Shares sold off as much as 14% after hours, which we see as an overreaction. To us, the quarter portends a timing issue for Applied's orders, rather than weaker demand or share loss for Applied. Positive guidance from peers indicates that industry demand remains healthy. Applied now trades at a significant discount to its peers, which presents a buying opportunity for long-term investors. Looking past a hiccup of a fourth quarter, we see continued investment in leading-edge chip equipment driving good results over the medium term.

Applied Materials Earnings: Leading-Edge Chip Demand Keeps Driving Good Results William Kerwin, CFA,Senior Equity Analyst,16 May 2025

Applied Materials' April-quarter revenue rose 7% year over year to $7.1 billion, down 1% sequentially. Non-GAAP gross margin rose 170 basis points year over year to 49.2%. July-quarter guidance calls for 1% sequential revenue growth, to $7.2 billion, and 90 basis points of gross margin compression.Why it matters: Applied's results and guidance met our expectations. We continue to see a positive demand environment for chip equipment, led by advanced chip demand for artificial intelligence. We expect this leading-edge chip demand to more than offset softer short-term demand for auto and industrial chips. China revenue declined sharply in the quarter, in line with our expectations and the result of a combination of recently enacted US trade restrictions and a pause in orders after supernormal levels last year. Immense orders from TSMC for cutting-edge chip capacity more than offset the decline. Applied didn't see any significant demand deterioration from tariff uncertainty, nor a significant direct impact on costs from current tariffs, which we view positively. Still, if the current 90-day pause on many

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US tariffs ends, permanently higher costs would likely spur a greater headwind. The bottom line: We maintain our $193 per share fair value estimate for wide-moat Applied, with our long-term thesis for growth from cutting-edge chip supply expansion and our expectation for share gains intact. Shares fell 5% following the results in after-hours trading, and look undervalued to us. We think shares sold off on guidance that merely met expectations and failed to impress investors concerned about the medium-term demand picture. We remain optimistic about a resolution to tariff uncertainty and expect Applied to continue capitalizing on strong demand going forward.

Applied Materials Earnings: Advanced Chip Investment Driving Good Results Despite China Headwind William Kerwin, CFA,Senior Equity Analyst,14 Feb 2025

Applied Materials' January-quarter sales rose 7% year over year and 2% sequentially to $7.17 billion. April-quarter guidance implies a slight sequential sales decline at the midpoint, inclusive of roughly $200 million in missed revenue as a result of updated trade restrictions by the US on China.Why it matters: We view Applied's core equipment demand as healthy despite the China headwind that led the April quarter outlook to miss our model. We see investment in cutting-edge chips, driven by generative artificial intelligence infrastructure buildouts, as the firm's primary driver in the medium term. Applied quantified the total headwind for fiscal 2025 from China restrictions at $400 million, which was slightly milder than expectations given by peers like Lam Research and KLA. We expect healthy growth in spite of this headwind and don't expect it to carry past fiscal 2025. Applied is best-exposed to leading-edge logic and DRAM memory chips, which we see as the biggest targets of chip investment over the medium term, largely driven by AI. This should help Applied see an outsize benefit from this rising investment, in our view. The bottom line: We maintain our $193 fair value estimate for shares of wide-moat Applied Materials, with our long-term growth thesis intact. We see shares at a slight discount after a 5% after-hours selloff that we attribute to April-quarter guidance missing market expectations. We've trimmed our fiscal 2025 sales forecast from both the new restrictions on China and some pulled-forward demand after significant lagging-edge and DRAM orders in fiscal 2024. We model China dipping to a mid-20% mix of sales for the rest of fiscal 2025, versus 30% historically. We continue to expect strong underlying market demand and gradual share gains for Applied over the next five years. In particular, we expect more penetration of advanced packaging techniques that should utilize relatively more of Applied's equipment and integrated solutions.

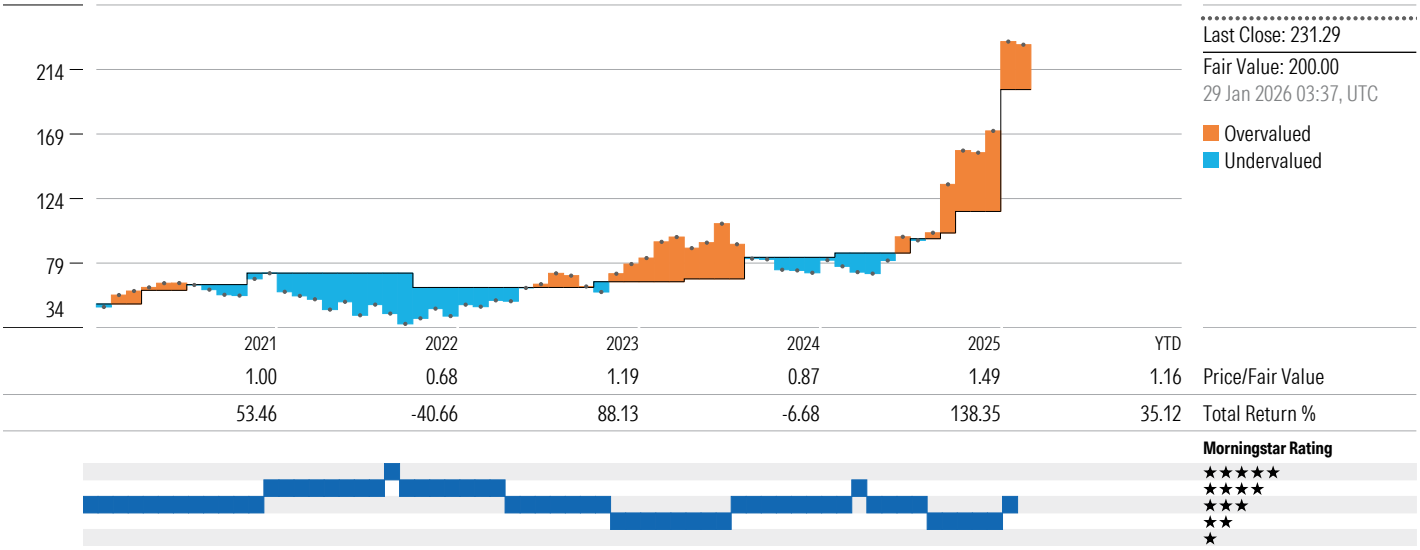
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Competitors Price vs. Fair Value

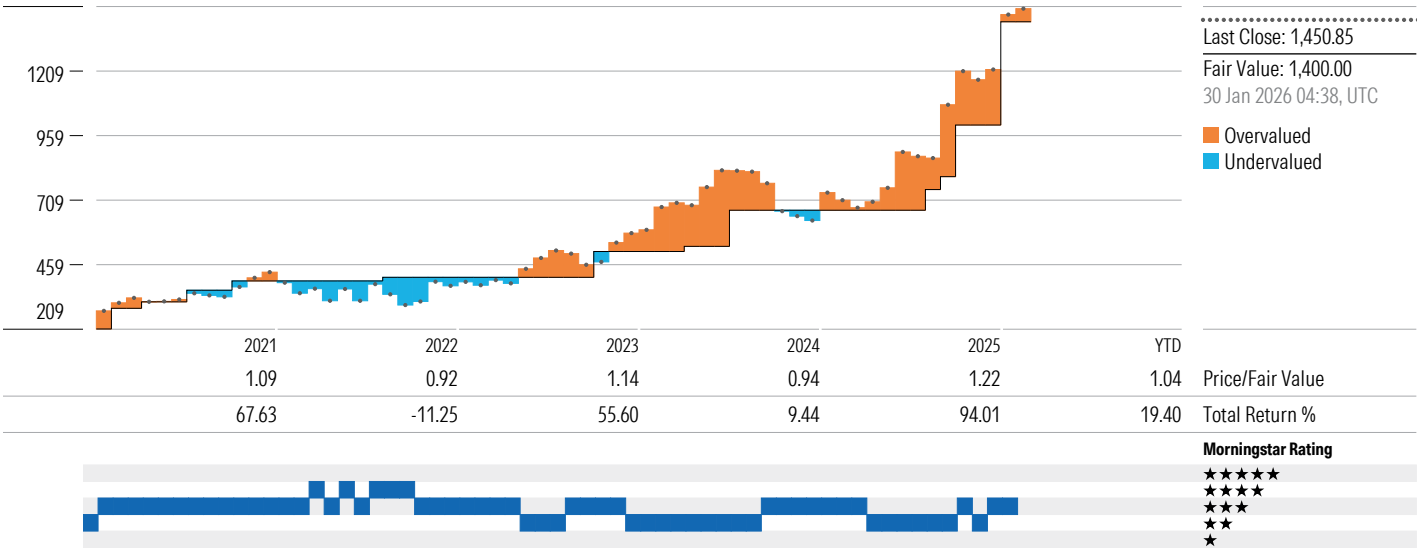
Lam Research Corp LRCX



	2021	2022	2023	2024	2025	YTD	
	1.00	0.68	1.19	0.87	1.49	1.16	Price/Fair Value
	53.46	-40.66	88.13	-6.68	138.35	35.12	Total Return %

Total Return % as of 12 Feb 2026. Last Close as of 12 Feb 2026. Fair Value as of 29 Jan 2026 03:37, UTC.

KLA Corp KLAC



	2021	2022	2023	2024	2025	YTD	
	1.09	0.92	1.14	0.94	1.22	1.04	Price/Fair Value
	67.63	-11.25	55.60	9.44	94.01	19.40	Total Return %

Total Return % as of 12 Feb 2026. Last Close as of 12 Feb 2026. Fair Value as of 30 Jan 2026 04:38, UTC.

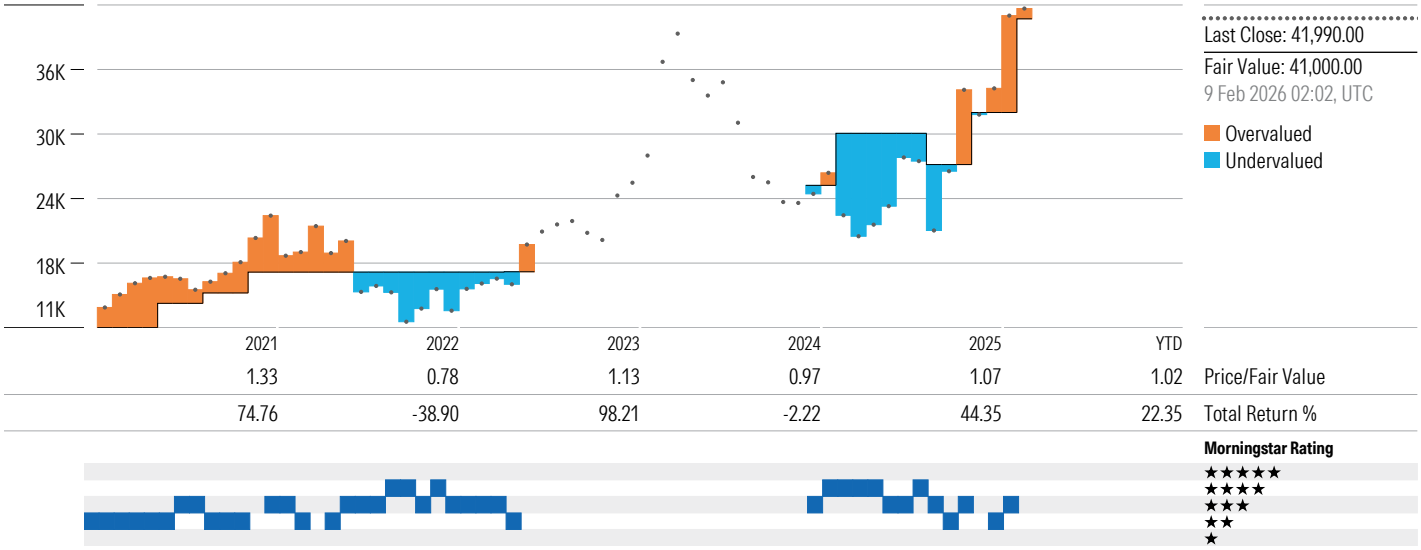
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Competitors Price vs. Fair Value

Tokyo Electron Ltd 8035



	2021	2022	2023	2024	2025	YTD	
	1.33	0.78	1.13	0.97	1.07	1.02	Price/Fair Value
	74.76	-38.90	98.21	-2.22	44.35	22.35	Total Return %

Total Return % as of 13 Feb 2026. Last Close as of 13 Feb 2026. Fair Value as of 9 Feb 2026 02:02, UTC.

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Morningstar Valuation Model Summary

Financials as of 12 Feb 2026

Fiscal Year, ends 31 Oct	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Revenue (USD Mil)	26,517	27,176	28,368	32,092	39,438	43,694	47,414	51,262
Operating Income (USD Mil)	7,654	7,867	8,470	10,014	13,258	14,744	16,140	17,569
EBITDA (USD Mil)	8,169	8,259	8,724	10,512	14,281	15,979	17,592	19,262
Adjusted EBITDA (USD Mil)	8,234	8,316	8,997	10,821	14,325	16,019	17,628	19,295
Net Income (USD Mil)	6,856	7,177	6,998	8,919	11,587	12,860	14,076	15,337
Adjusted Net Income (USD Mil)	6,802	7,210	7,607	8,930	11,771	12,960	14,172	15,429
Free Cash Flow To The Firm (USD Mil)	7,144	7,054	4,107	5,829	9,587	11,249	12,947	14,265
Weighted Average Diluted Shares Outstanding (Mil)	845	834	808	793	783	770	752	734
Earnings Per Share (Diluted) (USD)	8.11	8.61	8.66	11.25	14.80	16.71	18.71	20.90
Adjusted Earnings Per Share (Diluted) (USD)	8.05	8.65	9.41	11.26	15.03	16.84	18.84	21.02
Dividends Per Share (USD)	1.16	1.44	1.72	1.96	2.20	2.48	2.80	3.12

Margins & Returns as of 12 Feb 2026

	3 Year Avg	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	29.0	28.9	29.0	29.9	31.2	33.6	33.7	34.0	34.3	33.2
EBITDA Margin %	—	30.8	30.4	30.8	32.8	36.2	36.6	37.1	37.6	—
Adjusted EBITDA Margin %	—	31.1	30.6	31.7	33.7	36.3	36.7	37.2	37.6	36.3
Net Margin %	25.7	25.9	26.4	24.7	27.8	29.4	29.4	29.7	29.9	29.2
Adjusted Net Margin %	26.3	25.7	26.5	26.8	27.8	29.8	29.7	29.9	30.1	29.5
Free Cash Flow To The Firm Margin %	22.5	26.9	26.0	14.5	18.2	24.3	25.8	27.3	27.8	24.7

Growth & Ratios as of 12 Feb 2026

	3 Year CAGR	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	3.2	2.8	2.5	4.4	13.1	22.9	10.8	8.5	8.1	12.6
Operating Income Growth %	2.9	-1.7	2.8	7.7	18.2	32.4	11.2	9.5	8.9	15.7
EBITDA Growth %	2.0	-0.8	1.1	5.6	20.5	35.9	11.9	10.1	9.5	17.6
Adjusted EBITDA Growth %	2.7	-0.9	1.0	8.2	20.3	32.4	11.8	10.0	9.5	16.5
Earnings Per Share Growth %	5.2	9.0	6.1	0.6	29.8	31.6	12.9	12.0	11.7	19.3
Adjusted Earnings Per Share Growth %	5.2	4.5	7.4	8.9	19.6	33.5	12.0	11.9	11.6	19.3

Valuation as of 12 Feb 2026

	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Price/Earning	16.4	21.0	24.8	29.2	21.8	19.5	17.4	15.6
Price/Sales	4.2	5.5	6.5	8.1	6.6	6.0	5.5	5.1
Price/Book	6.8	8.0	9.2	10.9	8.8	7.8	7.0	6.4
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	13.3	17.6	20.5	23.9	18.1	16.2	14.7	13.4
EV/EBIT	14.3	18.6	21.8	25.9	19.5	17.6	16.1	14.7
Dividend Yield %	0.9	0.8	0.7	0.6	0.7	0.8	0.9	1.0
Dividend Payout %	14.4	16.7	18.3	17.4	14.6	14.7	14.9	14.8
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 12 Feb 2026

Fiscal Year, ends 31 Oct	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
ROA %	22.3	20.9	19.3	22.4	25.7	26.3	26.9	27.7
ROE %	41.9	37.8	34.3	37.5	39.7	39.8	40.1	40.9
ROIC %	32.2	30.3	30.8	32.3	37.1	37.2	37.6	38.1

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Oct	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	5.1	4.2	3.7	2.0	1.5	1.4	1.3	1.3
Assets/Equity	1.9	1.8	1.8	1.7	1.5	1.5	1.5	1.5
Net Debt/EBITDA	-0.1	-0.3	-0.2	-0.1	-0.3	-0.4	-0.5	-0.5
Total Debt/EBITDA	0.7	0.8	0.8	0.6	0.4	0.3	0.3	0.3
EBITDA/ Net Interest Expense	-132.8	-29.2	-9.2	-29.9	79.6	89.0	97.9	107.2

Forecast Revisions as of 12 Feb 2026	2026		2027		2028	
Prior data as of 13 Nov 2025	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	380.00	224.74	—	—	—	—
Revenue (USD Mil)	32,092	28,368	39,438	28,753	43,694	31,913
Operating Income (USD Mil)	10,014	8,470	13,258	8,460	14,744	9,760
EBITDA (USD Mil)	10,821	9,000	14,325	9,190	16,019	10,624
Net Income (USD Mil)	8,930	7,607	11,771	7,347	12,960	8,561
Earnings Per Share (Diluted) (USD)	11.25	8.66	14.80	9.07	16.71	10.92
Adjusted Earnings Per Share (Diluted) (USD)	11.26	9.41	15.03	9.30	16.84	11.05
Dividends Per Share (USD)	1.96	1.72	2.20	1.96	2.48	2.20

Key Valuation Drivers as of 12 Feb 2026

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	5.5
Weighted Average Cost of Capital %	8.9
Long-Run Tax Rate %	11.8
Stage II EBI Growth Rate %	9.0
Stage II Investment Rate %	15.0
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 12 Feb 2026

	USD Mil
Present Value Stage I	36,687
Present Value Stage II	130,038
Present Value Stage III	125,510
Total Firm Value	**292,234**
Cash and Equivalents	7,241
Debt	6,555
Other Adjustments	0
Equity Value	**292,920**
Projected Diluted Shares	788
Fair Value per Share (USD)	**380.00**

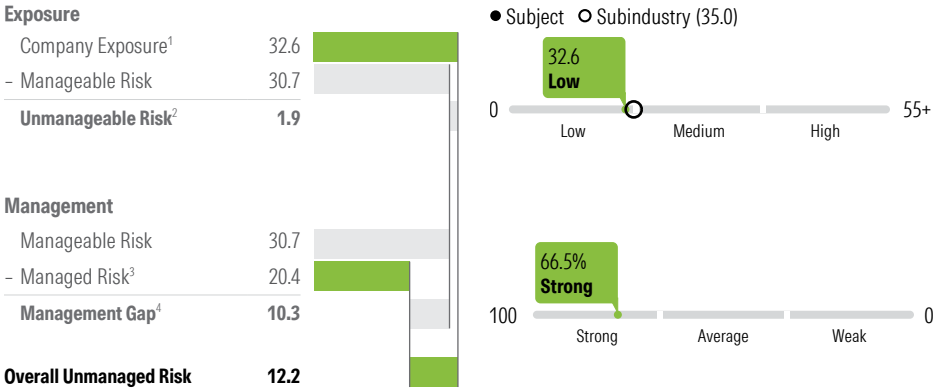
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ESG Risk Rating Breakdown



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Jan 07, 2026. Highest Controversy Level is as of Feb 08, 2026. Sustainalytics Subindustry: Semiconductor Equipment. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 66.5% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 07 Jan 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Applied Materials Inc	32.6 | Low	0	55+	66.5 | Strong	100	0	12.2 | Low	0	40+
KLA Corp	32.5 | Low	0	55+	63.8 | Strong	100	0	12.9 | Low	0	40+
Lam Research Corp	33.4 | Low	0	55+	64.8 | Strong	100	0	13.0 | Low	0	40+
Analog Devices Inc	43.8 | Medium	0	55+	68.4 | Strong	100	0	16.0 | Low	0	40+
Tokyo Electron Ltd	33.4 | Low	0	55+	58.6 | Strong	100	0	14.9 | Low	0	40+

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Appendix

Historical Morningstar Rating

Applied Materials Inc AMAT 13 Feb 2026 02:36, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★	★★	★★	★★	★★	★★	★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★	★★	★★	★★	★★	★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★	★★★	★★

Lam Research Corp LRCX 12 Feb 2026 22:37, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

KLA Corp KLAC 12 Feb 2026 22:37, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★★	★★	★★	★★	★★	★★	★★	★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★	★★	★★	★★	★★	★★	★★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★	★★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★	★★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★

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Tokyo Electron Ltd 8035 13 Feb 2026 19:33, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
—	★★★	★★	★★★	★★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
—	—	—	—	—	—	—	★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★	★★★★	★★★★	★★★	★★★	★★★	★★	—	★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	★★	★★	★★	★★★	★★★	★★	★★	★★	★★	★★	★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

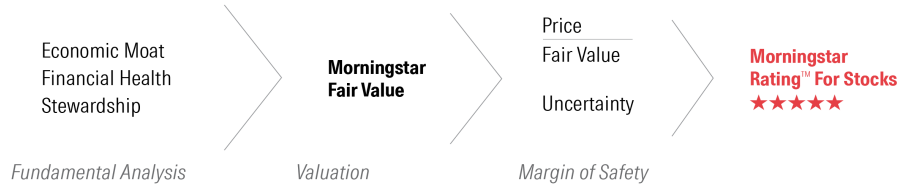
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

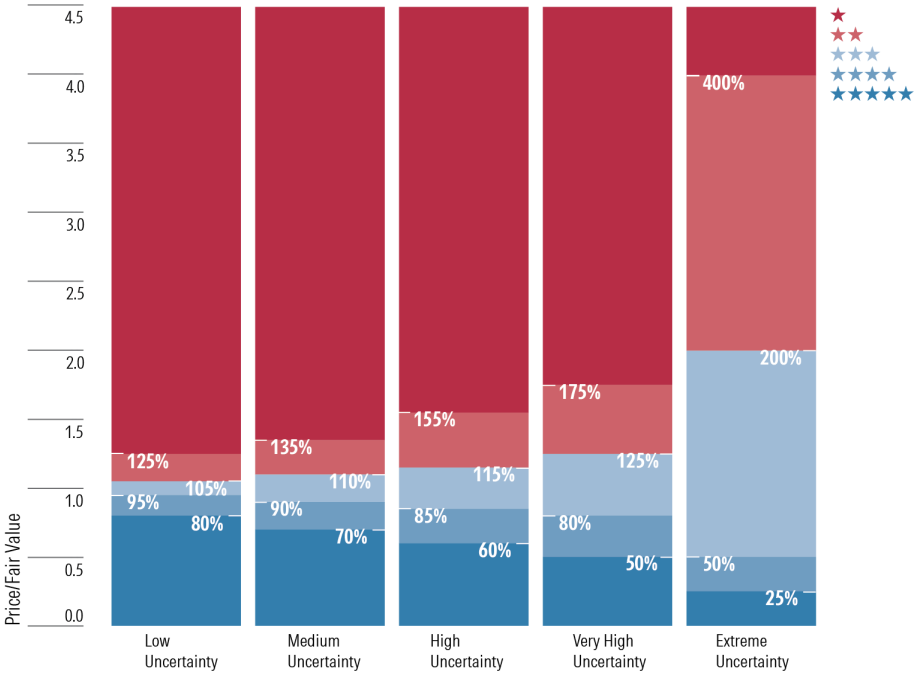
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

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